and disincentives for manufacturing in India. It will need to build around the following themes:

First, manufacturing of digital technology products is the future of manufacturing. India has an almost negligible share of digital hardware manufacturing. While silicone or semiconductor manufacturing is the fundamental base of all digital manufacturing, the country need not focus on manufacturing of semiconductors. All efforts made in this direction over the past decade have not succeeded as India does not have the technology and cost advantage. The focus should instead be on value-added chip manufacturing on semiconductors. That is where we might have an intellectual and efficiency advantage. The Production Linked Incentive (PLI) scheme does alter incentives correctly in this direction, but it has focused more on manufacturing products with a relatively small digital element and also on products which are not digital technology products. If PLI incentives are channelled to manufacturing of chips and other digital components, India might attain competitiveness in much larger product ranges than current PLI. There is another category of industrial products which would have enormous demand in times to come—the environmental products—the products which save on energy consumption, eliminate waste, recycle product and control/eliminate discharge of pollutants, including greenhouse gases. PLI targets one or two such products though the possibilities are immense. PLI should be focused on manufacturing digital and environmental products only.

Second, the principal disadvantage India has faced in the manufacturing space is lack of technological innovations and advancements. Technology for most industrial products manufactured in India, whether it is automobiles, white goods, electrical or electronic machinery, chemicals or other products, has been largely purchased from abroad or developed over the imported foreign technology. There is no harm in buying technology from abroad and then manufacturing products that can compete on quality